IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

C A (CAA) 85 (ND) of 2020

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

BIKANO FOODS PRIVATE LIMITED,
A-28, Lawrence Road, Industrial Area, New Delhi -110035
.....Applicant No. 1/Transferor Company

AND

BIKANERVALA FOODS PRIVATE LIMITED,
A-28, Lawrence Road, Industrial Area, New Delhi -110035
.....Applicant No. 2/Transferee Company/Demerged Company

AND

BIKANERVALA PRIVATE LIMITED,
A-28, Lawrence Road, Industrial Area, New Delhi -110035
.....Applicant No. 3/Resulting Company

ORDER DELIVERED ON: 22.12.2021

CORAM:
MR. ABNI RANJAN KUMAR SINHA, MEMBER (JUDICIAL)

MR. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

For Petitioner(s): Adv. Arun Saxena

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filled by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Arrangement (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act following prayers have been made for orders:-

a) *To dispense with the requirement for convening the meetings of the equity shareholders of the Applicant Companies No.1 to 3,*

b) *To hold the meeting of the secured and unsecured creditors of the Applicant Companies No. 1 & 2 be held at such place, time & venue as this Hon'ble Tribunal may direct, for the purpose of considering and if thought fit, approving with or without modification of the scheme of Arrangement among the Applicant Companies,*

c) *To dispense with the requirement for convening the meetings of the secured & unsecured creditors of the Applicant Company No. 3 as there is no secured & unsecured creditor in this Company,*

d) *That orders / directions are to be passed for the publication of the notices in relation to the meeting of secured and unsecured creditors of the Applicant Companies No. 1 & 2,*

e) *That the directions are also to be given as to the method of convening, holding and conducting the said meeting(s) and as to the notices and advertisements to be issued in Applicant Companies No.1 & 2.*

f) *That the Chairperson and Alternate Chairperson be appointed for the said meetings of secured and unsecured creditors of the*

Applicant Companies No. 1 & 2 who shall report the result thereof to the Hon'ble Tribunal,

g) *That Applicant Companies be permitted to file the petition for sanctioning the Scheme of Arrangement within seven (7) days from the filing of the report of the chairpersons of the meetings of the secured and unsecured creditors of the Applicant Companies No. 1 & 2,*

h) *Direct service of notice to Central Government, Regional Director Northern Region, Registrar of Companies New Delhi and Income Tax Authorities or such authorities as the Tribunal may deem fit, to make their respective representations, if any, to this Hon'ble Tribunal, under provisions of Section 230 (5) Companies Act, 2013 and further direct them to serve a copy of their representation on the Applicant Companies' Advocate;*

i) *To pass any other order or directions, as may be deemed fit in the facts and circumstances of the case, may also be granted.*

2. Affidavits in support of the application sworn for and on behalf of the Applicant Companies have been filed by Mr. Manish Aggarwal being the authorized signatory.

3. It is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is further represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered office of all the Applicant Companies are situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi.

4. It is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and

the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be 01.04.2019.

5. In relation to the Transferor Company, it has been represented that the company has 3 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. We are further apprised that the Transferor Company has 1 Secured Creditor and 44 Unsecured Creditors whose consent affidavits have not been obtained. In relation to the shareholders, the Transferor Company seeks dispensation from convening and holding of their respective meetings on the ground that all the shareholders have given their consent affidavits in favour of the Scheme. In respect of Secured and Unsecured Creditors, the Transferor Company has prayed to convene the meeting.

6. In relation to the Transferee Company, it has been represented that the company has 23 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. We are further apprised that the Transferee Company No. 2 has 4 Secured Creditors and 2172 Unsecured Creditors. In relation to the shareholders, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on the ground that all the shareholders have given their consent affidavits in favour of the Scheme. In respect of Secured and Unsecured Creditors, the Transferee Company has prayed to convene the meeting.

7. In relation to the Resulting Company, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on

record. We are further apprised that the Resulting Company has NIL Secured and Unsecured Creditors. In relation to the shareholders, secured and unsecured creditors, the Resulting Company seeks dispensation from convening and holding of their respective meetings.

8. We have heard the Ld. Counsel for the Applicant Companies and perused the application and the connected documents filed along with the Scheme of Arrangement contemplated between the Companies.

9. Transferor Company- BIKANO FOODS PRIVATE LIMITED was incorporated on 04.05.2011 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 25,00,00,000/- divided into 2,50,00,000 equity shares of Rs. 10 each. The issued, subscribed and paid-up share capital of the Company is Rs. 12,18,23,080/- divided into 1,21,82,308 equity shares of Rs. 10/- each.

10. Transferee Company/Demerged Company- BIKANERVALA FOODS PRIVATE LIMITED was incorporated on 25.10.1988 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 100,00,000/- only divided into 10,00,000 /- equity shares of Rs. 10 each. The issued, subscribed and paid-up share capital of the Company is Rs. 85,00,000/- divided into 8,50,000 equity shares of Rs. 10/- each.

11. Resulting Company- BIKANERVALA PRIVATE LIMITED was incorporated on 04.09.2019 in the state of Delhi under the provisions of Companies Act, 2013. The authorised share capital of the Company is Rs. 10,00,000 divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 500,000 divided into 50,000 equity shares of Rs. 10/- each.

12. It is seen that the Board of Directors of all the Applicant Companies vide meeting held on 01.08.2020 have unanimously approved the proposed Scheme of Arrangement. Copies of such resolutions passed thereat have been placed on record.

13. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2020.

14. The Applicant Companies have submitted vide Affidavit dt. 09.11.2021 that no inspection, inquiry or investigation is pending against any of the Applicant Companies.

15. Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

16. Valuation Report dated 23.07.2020 obtained from Registered Valuer have also been placed on record.

17. There are two decisions of three members Bench of NCLT, on the point of dispensation of the meeting of the shareholders, viz. the decision dt. 17.05.2017 of NCLT Kolkata Bench in ***Jupiter Alloys & Steel India Limited in TA No. 11/2017*** and the decision dt. 31.05.2021 of NCLT New Delhi in ***Quick Calls Pvt Ltd CA (CAA) No. 75/230-232/ND/2020.*** In both the aforementioned decisions, contradictory view has been taken.

18. However, recently the Hon'ble NCLAT, vide judgment dt. 06.04.2021 in the matter of ***Ambuja Cements Ltd. Company Appeal (AT) No. 19 of 2021***, held that:

> *"37. From the above Judgment of the Hon'ble High Court of Bombay in the matter of* ***'Mahaamba Investments Ltd.'vs 'IDI***

Ltd.', *whereby it is clear that an Application filed by the Transferor Company or Transferee Company, a separate Application is not necessary by the Transferee/Transferor Company. Further, this Tribunal in the matter of* ***'DLF Phase –IV Commercial Developers Ltd. & Ors'***. *dispensed with the meetings of the Creditors and shareholders. However, the facts of the DLF matter are little different i.e. in the DLF matter the written consent was obtained by way of an 'Affidavit'. This Tribunal allowed the Appeal by setting aside the order of the Tribunal where the Learned Tribunal rejected the approval seeking the dispensation of the meetings of creditors and shareholders. However, in the present case we are of the view that the Learned Tribunal ought to have dispensed with the meetings of the Equity shareholders and Creditors of the Appellant Company. The only objection taken by the Learned NCLT that no written consent by way of an Affidavit' of the Shareholders and Creditors, were filed.*

38. We are of the view that as held by the Hon'ble Supreme Court that a Coordinate Bench of a court cannot pronounce Judgement contrary to declaration of law by another Bench. In the Present case, the Tribunal (NCLT) Ahmedabad Bench erred in not following its own order passed in ***'Vodafone Idea Ltd'***, *Wherein similar facts are involved in both the cases.*

Conclusion:

39. In view of the forgoing reasons we set aside the order of the Learned NCLT dated 10.12.2020 in CA (CAA) No. 50 of 2020. Accordingly, we dispense with the meetings of the Equity shareholder, Secured and Unsecured Creditors of the Appellant Company. The matter is remanded back to the NCLT for further Consideration."

19. Further, the above view was reiterated in the judgment dt. 28.06.2021 of Hon'ble NCLAT in the matter of ***Mohit Agro Commodities Processing Pvt. Ltd. Company Appeal (AT) No. 59 of 2021***. The relevant para is quoted below:-

> *"20. This Tribunal has placed reliance in **'DLF Phase IV, Commercial Developers Limited and Ors.' in Company Appeal (AT) No. 180 of 2019** and observed that the scheme would not prejudicially affect the Creditors or Shareholders of the Appellant Company when an Application is filed by the 'Transferor Company' or 'Transferee Company', a separate Application is not necessary and dispensed with the meeting of the equity Shareholders and Creditors of the Appellant Company. At the cost of repetition, keeping in view that the financial position of the 'Transferee Company' is highly positive, the merger does not involve any compromise/arrangement with any Creditor of the Company, that there would be a positive net worth and Creditors would not be compromised, the Tribunal ought to have exercised the discretion in dispensing with the requirement of convening the meeting which would facilitate ease of doing business and save time and resources. To reiterate, we observe that the rights and liabilities of Secured and Unsecured Creditors were not getting affected in any manner by way of the proposed scheme as no new shares are being issued by the 'Transferor Company' and no compromise is offered to any Secured and Unsecured Creditors of the 'Transferee Company'. Therefore, we are of the considered view that when the 'Transferor and Transferee Company' involve a parent Company and a Wholly Owned Subsidiary the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors can be dispensed with as the facts of this case*

substantiate that the rights of the Equity Shareholders of the 'Transferee Company' are not being affected."

20. In sequel to above, in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. **In relation to the Transferor Company:**

i. With respect to Shareholders:

It is represented by the Transferor Company that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

The meeting of Secured Creditors of Transferor Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

iii. With respect to Unsecured Creditors:

The meeting of Unsecured Creditors of Transferor Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

B. **In relation to the Transferee Company:**

i. **With respect to Shareholders:**

It is represented by the Transferee Company that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. **With respect to Secured Creditors:**

The meeting of Secured Creditors of Transferee Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

iii. **With respect to Unsecured Creditors:**

The meeting of Unsecured Creditors of Transferee Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

C. **In relation to the Resulting Company:**

i. **With respect to Shareholders:**

It is represented by the Resulting Company that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. **With respect to Secured Creditors:**

It is represented by the Resulting Company that there are NIL Secured Creditors. Therefore, the necessity of convening and holding a meeting does not arise.

iii. **With respect to Unsecured Creditors:**

It is represented by the Resulting Company that there are NIL Unsecured Creditors. Therefore, the necessity of convening and holding a meeting does not arise.

D. In case the quorum as noted above for the aforesaid meetings are not present at the meeting, then the meeting shall be adjourned by half an hour, thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting is filled with the Registered Office of the Applicant Companies at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein alongwith the Scrutinizer shall ensure that the proxy registers are properly maintained.

E. Mr., Ishwar Chandra Mohapatra, Advocate is appointed as the Chairperson, Mr. Rakesh Kumar, Advocate is appointed as Alternate Chairman and Mr. Suraj Sharma, Practicing Company Secretary as Scrutinizer for the aforementioned meetings in terms of the direction issued herein.

F. The fee of the Chairperson for the aforesaid meetings shall be Rs. 75,000/-, The fee of the Alternate Chairperson shall be Rs. 75,000/- and the fee of the Scrutinizer shall be Rs. 50,000/- in addition to meeting their incidental expenses.

G. The individual notices of the said meetings shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of arrangement and a copy of explanatory statement. The notice convening meeting shall be uploaded on the website of the respective Applicant Companies. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act.

H. That the Applicant Companies shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date

and the place and time as aforesaid, to be published in Delhi Editions of "Business Standard" both English and Hindi stating that the Copies of the Scheme, the Explanatory Statement required to be furnish pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provide free of charge at the Registered Office of the Applicant Companies.

I. Voting shall be allowed on the proposed Scheme by voting in person or by proxy or through electronic means as may be applicable to the respective companies under the Act and rules framed there under. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

J. Notice of this Meeting shall also be served on the following authorities:-

a. The Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Pt. Deen Dayal Antodaya Bhawan, CGO Complex, Lodhi Road, New Delhi-110 003;

b. The Registrar of Companies, NCT of Delhi, Ministry of Corporate Affairs, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

c. The Official Liquidator, Ministry of Corporate Affairs, 8th Floor, Lok Nayak Bhawan, Khan Market, New Delhi-110001;

d. The Income Tax Department, through the Nodal Office- DCIT (High Court Cell), Room No. 428 & 429, Lawyer's Chambers, Block No. 1, Delhi High Court, New Delhi. The notices to Income Tax authorities shall disclose sufficient details like PAN card numbers, ward numbers and assessing officers so that timely and proper reply may be filed.

e. Such other Sectoral Regulatory Authorities who may have significant bearing on the operation of the Applicant Companies.

K. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

21. **Accordingly, in terms of the above order, CA (CAA) 85 (ND) of 2020 is allowed.**

Sd/- 22/12/2021

(AVINASH K. SRIVASTAVA)
Member (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)
Member (J)